

Trading Strategies — Living Document

A running catalogue of every signal/strategy we've considered, built, tested, or shelved — with **status and evidence**, so we refine over time instead of re-litigating. Update the changelog at the bottom on every material change.

Golden rule: nothing earns risk until it survives **point-in-time features + friction-aware, regime-split backtesting**. The broad-sentiment edge looked great and died exactly this way — see `backtest/engine.py`.

Status legend

	Meaning
✔ Validated	Survived friction-aware, regime-split backtest (still preliminary — see caveats)
● Marginal	Real effect, but fragile net of costs / not sign-stable
✗ Failed	Tested and does not work (kept here so we don't retry it)
🧪 Untested	Built and wired, awaiting data to evaluate
💡 Idea	Backlog — not yet built
🔄 In progress	Data/build task underway

Progress at a glance

Last updated: 2026-06-01. Update this section whenever a status, metric, or next-step changes.

Strategy scoreboard

Strategy	Class	Status	Headline result	Next action
<code>rrai_capitulation_long</code>	Macro overlay	✔ Validated	AUDJPY +0.67%/5d, win 78%, sign-stable; VIX gate ~4×	vol-target sizing; longer history; equity-leg paper
<code>rrai_euphoria_short</code>	Macro overlay	✗ Failed	−0.41%, flips (one-sided factor)	— drop
<code>dump_fade_DELETION_short</code>	Equity	🧪 Untested	awaiting coverage (<code>gone_frac>0</code> in 267 rows)	re-backtest at ~30–40% author coverage; express via puts
<code>fade_organic_short</code>	Equity	● Marginal	+0.83%/5d but P3 flips	retry via puts + VIX/vol gate
<code>pump_long</code> (ride)	Equity	✗ Failed	+3% but regime-flips, $t=0.75$	— drop
<code>dump_fade_short</code> (naive)	Equity	✗ Failed	−9.9% (squeezed)	superseded by deletion-gated
<code>organic_long</code>	Equity	✗ Failed	−4.2%, sign-stable loser	inverse → <code>fade_organic_short</code>

Build & data progress

Component	Status	Detail
Feature store (<code>feature_daily</code> / <code>aggregate_daily</code>)	✅ Done	~77k ticker-day rows, point-in-time
Friction-aware backtester (<code>backtest/engine.py</code>)	✅ Done	costs + regime split + no-lookahead
<code>/signals</code> feed + MT5 EA	✅ Done	live; currently flat (no capitulation)
Author profiling coverage	📊 8%	3,823 / 47,625; 184 gone (116 del / 68 susp); target ~40%
Deletion-gated short testability	📊 Surfacing	<code>gone_frac > 0</code> in 267 feature rows; too sparse to trade yet
Idea backlog	💡 7 ideas	squeeze · options-flow · hype-cycle · sentiment-extremes · rotation · novelty · coordination
Equity/options paper client (Alpaca)	💡 Planned	not started

Methodology (non-negotiables)

1. **No lookahead** — features at date D use only data $\leq D$; entries at the first close *after* D.
2. **Frictions** — round-trip spread (small-caps wide), short borrow, halts, capacity.
3. **Regime split** — net return per sub-period; sign-stability is the bar, not a big average.
4. **Shorts via PUTS**, not naked stock — penny shorts have squeeze/borrow/halt tails.
5. **Overlapping-window caveat** — daily signals with N-day forward returns inflate t-stats.

Asset-class reality (what this data can/can't trade)

- **Small/micro-cap & meme equities** — primary signal (retail flow moves price).
- **Single-name options** — primary *expression* (convex longs, defined-risk shorts).
- **Index / risk-FX** — *macro overlay only* (retail positioning as a contrarian factor).
- **FX majors / "Reddit sentiment on SPY as direction"** — no edge; don't build it.

1. Macro overlay — Retail Risk-Appetite Index (RRAI)

Aggregate retail positioning as a **contrarian** factor at extremes. Built posts-only + ratios (coverage-stationary); 90-day trailing percentile. `analytics/features.py::aggregate_daily`.

✅ `rrai_capitulation_long` — buy risk when retail capitulates

- **Thesis:** retail max-bearish (RRAI pct low) + genuine fear (VIX high) → contrarian bounce.
- **Spec (shipped):** long when `rrai_pct ≤ 0.15` **AND** `VIX ≥ 18`; hold ~10d; size by extremity; **fear-side only**.
- **Evidence (12mo, net of costs):** sign-stable across all 3 regimes. AUDJPY +0.67%/5d (win **78%**, $t=4.42$, the best/most-stable leg); SPY +0.68% (win 71%); QQQ +0.90%. **Clean dose-response:** more extreme + longer hold → bigger (AUDJPY h20 +2.18%). **VIX gate ~4x'd it** (SPY +1.56%/10d in fear vs +0.42% calm).
- **Expression:** FX **AUDJPY** (best), index CFDs US500/USTEC. Served via `/signals`; traded by `mq15/RedditRRAI_EA.mq5` (demo).
- **Caveats:** single ~12mo bull regime, $n \approx 45$ /bucket, overlapping windows.
- **Next:** leverage-language enrichment (calls/puts, margin/YOLO terms); longer history (data-limited); position sizing/vol-targeting; Alpaca/IBKR expression for the equity legs.

✗ `rrai_euphoria_short` — fade retail greed

- **Result:** net -0.41%, flips sign — market kept rising through euphoria. **The factor is one-sided (fear only).** Control that confirms the asymmetry; do not trade.

2. Equity cross-sectional (per ticker × day)

From `analytics/features.py::feature_daily` (velocity, accel, breadth, concentration/HHI, sentiment trajectory, author young/gone/suspended mix, novelty).

✗ `pump_long` — ride concentrated promotion

- **Thesis:** concentrated mention spike (few authors, high volume) pops short-term.
- **Result:** net +3%/5d but **sign-flips** (P1 +15.8 → P3 -4.6), win 36%, $t=0.75$. The crude "+6.45%" was a no-lookahead/no-cost/single-regime artifact. **Not robust.**

✗ `dump_fade_short` — short a decelerating pump (naive)

- **Result:** net -9.9% (P1 -29%). Shorting pumps on deceleration gets squeezed/run over. Wrong trigger; brutal without defined risk.

✗ `organic_long` — buy broad attention spikes

- **Result:** sign-stable -4.2% net ($t=-4.25$, $n=321$). Buying broad/news-driven attention tops is a *consistent loser* → the inverse is the candidate (below).

● `fade_organic_short` — fade broad attention spikes

- **Thesis:** broad attention spikes mean-revert down (inverse of the robust `organic_long` loss).
- **Result:** net +0.83%, but **flips in P3** (win 46%) — the reversion is real but shorting costs + recent weakening eat it. **Marginal.** Revisit via **puts** (cheaper than borrow) and with a VIX/vol gate.

🔧 `dump_fade_DELETION_short` — short a pump whose promoters vanished (*THE thesis*)

- **Thesis:** concentrated pump + promoters now **deleted/suspended** → manufactured → fade the collapse. This is the original A2 idea, and the *reason* we track account lifecycle.
- **Status:** built & wired; **awaiting author coverage**. As of 2026-06-01: 8% of 47k authors profiled, 184 gone accounts found (~4.7% base rate), `gone_frac>0` in 267 feature rows — surfacing but too sparse to intersect the pump filter yet. Background `author_age_backfill` sweep grinding; scheduler rebuilds features each cycle.
- **Next:** re-run `python main.py --backtest` as coverage climbs (~30–40%); consider prioritising profiling of authors on pump-candidate tickers to make it testable sooner. Express via puts.

3. Idea backlog (💡 not yet built)

- **Squeeze setup (long):** Reddit squeeze chatter (Shortsqueeze/SqueezePlays) + **short-interest / float / borrow-fee** → squeezable. *Needs external SI/borrow data.*
- **Options-flow signal:** parse contract-level chatter (unusual_whales/options) → retail-gamma/positioning proxy. *Needs contract parsing.*
- **Hype-cycle lifecycle:** model attention as nascent→acceleration→peak→fade; long the *organic* acceleration, fade the *concentrated* peak. Breadth-vs-concentration is the discriminator.
- **Conditioned sentiment extremes (single-name):** linear sentiment is dead, but *extreme concentrated euphoria at a price high* (short) / *capitulation after a sharp drop* (bounce) may be non-linear edges.

- **Cross-sectional attention rotation:** rank meme universe by abnormal velocity z-score; long top-decile / short bottom-decile, beta-hedged with SPY; baskets from co-mention clusters.
- **Novelty / first-mention alpha:** the "discovery" moment (silent → sudden organic burst).
- **Coordination graph (short):** rigorous version of the deletion short — cluster density + temporal bursts + duplicate text + new-account% + gone%.

4. Data gaps blocking strategies

Gap	Unblocks
Intraday prices (have EOD only)	timing pump/dump entries/exits (they move intraday)
Short interest / float / borrow fee	squeeze setup; short feasibility
Options chains / IV	options expression; options-flow signal
Longer history (data-limited to ~12mo)	true multi-regime validation of the RRAI overlay
Author coverage (8% → target ~40%+)	the deletion-gated short (<i>in progress</i>)

5. Execution stack

- `/signals feed` (`analytics/signals.py` , `GET /signals json|mt5`) — live, serves the capitulation overlay. ✓
- `MT5 EA` (`mq15/RedditRRAI_EA.mq5`) — thin client for the index/FX overlay; demo-only. ✓
- `Alpaca / IBKR paper client` — for the equity/options legs. 💡 planned.

Changelog

- **2026-06-01** — Initial document. Phase 0 (feature store + friction-aware backtester) shipped. RRAI capitulation-long validated (best via AUDJPY, VIX-gated); pump-ride/naive-dump-short/organic-long failed; fade-organic marginal; deletion-gated short awaiting author coverage (8%). `/signals` + MT5 EA live.